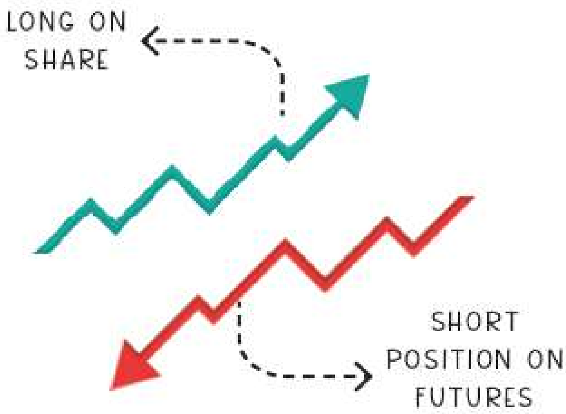
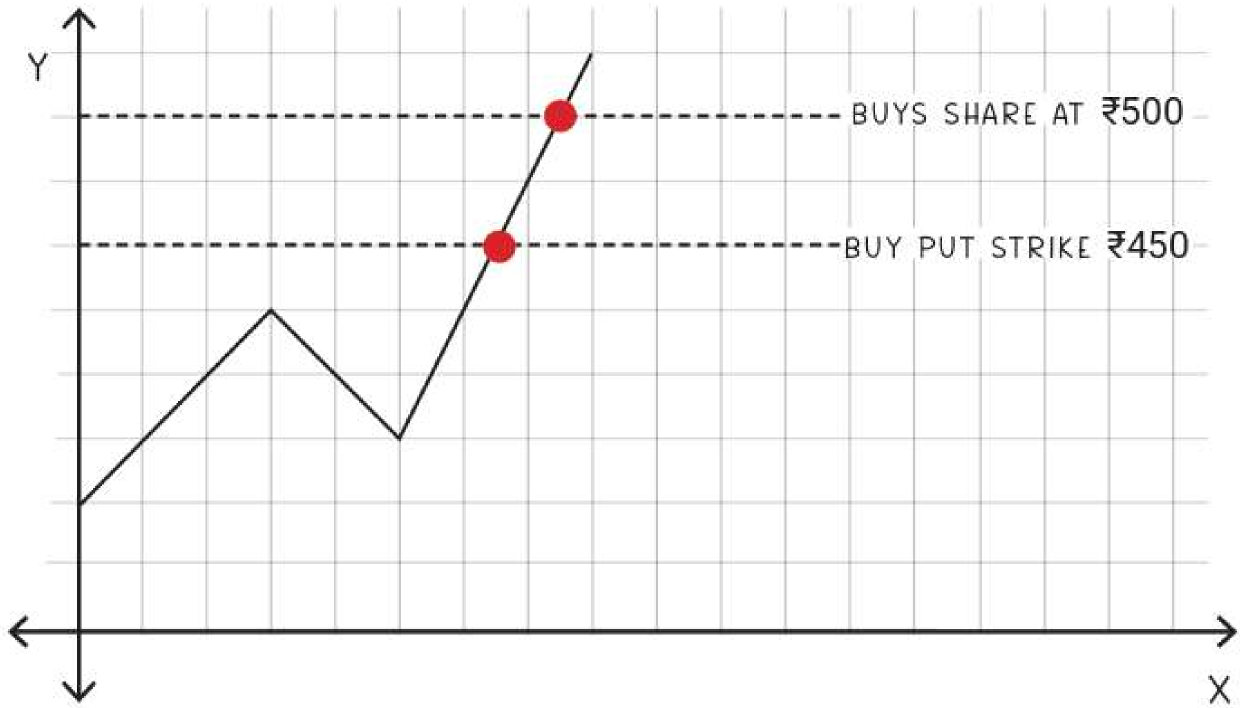
Ultimately, with hedging we protected against the downsides. We may even be long on a share and hedge ourselves by taking a short position with the futures. So, till the time to expiry of the futures, we will stay protected.



FOR THAT MATTER, EVEN THE FALSE MOVES RISK IS ADDRESSED WITH THIS RISK MANAGEMENT TOOL. WITH HEDGING YOU ALSO KNOW EXACTLY HOW MUCH YOUR MAXIMUM LOSS CAN BE. WE HAVE DEFINED MAXIMUM LOSS POTENTIAL WHEN IT COMES TO USING DERIVATIVE CONTRACTS.

We may buy a put option. Our maximum loss here will be the premium, while we still enjoy the upside of the share that we own.

For example, a man buys a share with current market price of ₹500 and at the same time buys a put option at strike ₹450.



IF PRICE ↑	✓ SHARES WILL BE PROFITABLE
IF PRICE ↓	✓ PUT OPTION WILL BE EXERCISED